

China's AI gains push US toward restrictions

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China's AI surge will push Washington toward selective restrictions

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Chinese AI companies are closing the capability gap with US AI labs at a fraction of the cost, including with smaller and cheaper models, making them highly competitive in the global market.

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In response, Washington is considering additional restrictions to slow Chinese AI development, likely shifting focus from chips to model and algorithm controls and targeting technology developed through distillation of US models.

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President Donald Trump's administration will opt for targeted measures, such as subscription restrictions, over blanket bans on Chinese open-source models, seeking to balance conflicting domestic interests without straining relations with Beijing.

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Amid these competing pressures, the administration will likely use the information and communications technology and services (ICTS) rule to restrict subscriptions to Chinese AI applications— as it has with Chinese vehicle software—or impose government use or procurement regulations. A blanket ban remains unlikely as the immediate next step.

Chinese open-weight models are increasingly approaching the capabilities of cutting-edge and frontier US AI models. Moonshot's Kimi K3, launched 16 July, lands near Anthropic's Opus 4.8 and slightly behind Fable 5. Meanwhile, early independent testing of Alibaba's Qwen 3.8-Max and Zhipu's GLM 5.2 provide further evidence that Chinese AI companies' fast-follower strategy for AI development is working. These models are also generally available as cheaper managed services, or open-weight models, that users can run themselves if they have appropriate resources.

K3 shows the limits of using chip controls to slow China's model development. The rapid pace of Chinese AI development, despite restrictions on advanced AI chip access, raises questions about whether dominance in compute power alone can sustain the US frontier edge. To date, dominant US AI platforms have worked toward the next major technological breakthrough by continuously scaling a single, general-purpose model, with improvements driven by model parameters, training data, and computing power—the so-called scaling law paradigm. Chinese AI companies, by contrast, have been constrained in their training compute due to export restrictions on cutting-edge chips, and have found less compute-intensive ways to train their models.

Chinese labs rely on a mix of direct and indirect access to US compute: stockpiled advanced chips predating restrictions under former president Joe Biden and remote connection to US cloud services powered by advanced chips. Blocking cloud access could disrupt China's AI industry. It is not clear to what extent Chinese models can advance at this pace without access to US chips, but it is also not clear that Chinese models need to keep pace with the US frontier in order to be competitive and drive diffusion.

Chinese companies (and some US labs) are differentiating themselves through smaller, "good enough" models optimized for accessibility and real-world adoption in sectoral or specialized consumer markets. These smaller models do, typically, rely in part on distillation of larger, more advanced models in their training (sometimes aboveboard, and sometimes not, as noted by US AI labs).

The center of gravity around Chinese AI controls is shifting from chip restrictions to model and algorithm regulations. Three camps are pressing for action for different reasons. The National Security Agency and the broader intelligence community view wide adoption of capable open-source models as a threat to the US frontier AI advantage and a potential channel for exploitation. The Treasury Department is concerned about powerful and cheap tools falling into the hands of actors engaged in hacking or fraud. Leading US AI labs support curbing the spread of Chinese models and want mandatory safety testing, but caution against broad restrictions on the open-weight ecosystem.

Industry opposition and bilateral pressure from China are constraining the administration's options. The Entity List proposal has drawn pushback from hundreds of companies—start-ups, large technology platforms, and businesses across sectors that use open-source models—who have objected to even this targeted intervention. A Chinese government delegation recently warned Washington it would take "all necessary measures" if the US sanctions Chinese AI companies. President Xi Jinping has personally highlighted China's growing AI capabilities and positioned China as a provider of AI as a public good. Restrictions risk triggering broader escalation, including additional Chinese controls on rare earths or supply chain security measures.

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